

JPMorgan Chase & Co. (JPM)

The Best Bank in the Cycle Still Requires Normalized Earnings

JPM, NYSE | Financials | Diversified Banking and Markets

OVERWEIGHT

Price (22 Aug 2024):	US\$216.63
Price Target (Dec-25):	US\$245.00

INVESTMENT THESIS

JPMorgan reported US\$18.1bn of Q2 net income and US\$6.12 of EPS, but the quarter included a US\$7.9bn Visa gain and other significant items. Excluding those items, net income was US\$13.1bn, EPS US\$4.40 and ROTCE 20% - still an excellent result.

Scale in deposits, payments, markets and technology supports share gains through the cycle. The First Republic acquisition adds attractive clients and assets, while credit normalization and higher expenses keep the earnings path from being linear.

Our US\$245 December 2025 target applies 13.1x FY25E normalized EPS of US\$18.70 and is cross-checked against tangible book. The premium is justified by a sustainable near-20% ROTCE, but one-time Q2 gains should not be capitalized.

- Q2 managed revenue was US\$51.0bn, credit costs US\$3.1bn and reported ROTCE 28%; ROTCE excluding significant items was 20%.
- Average loans increased 6% year over year including First Republic, deposits were broadly stable and the standardized CET1 ratio reached 15.3%.
- Our US\$245 December 2025 target implies 13.1% price upside. Estimated dividends add 2.9%, for approximately 16.0% total return.

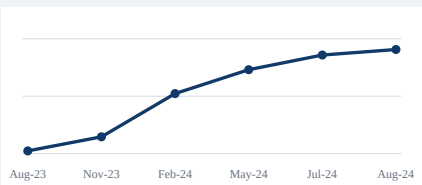
COMPANY OVERVIEW

JPMorgan is the largest U.S. bank by assets, with leading consumer, commercial, payments, investment-banking, markets and asset-management franchises. Deposit scale and technology investment reinforce the moat; credit, markets, rates, regulation and operational risk drive volatility.

Akul Veauli

Akul Veauli
Equity Research Analyst
Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Common shares (30 Jun)	~2.845bn
Market cap	~US\$616bn
52-week range	~US\$135-218
Quarterly dividend	US\$1.15
Q2 TBVPS	US\$92.77
Q2 CET1 ratio	15.3%
Average deposits	US\$2.4tn
Latest results	Q2 2024

KEY ESTIMATES

US\$bn unless noted	FY22A	FY23A	FY24E	FY25E
Managed revenue	132.3	162.4	182.0	187.0
NI (A rep.; E norm.)	37.7	49.6	54.0	53.0
EPS (A rep.; E norm.)	12.09	16.23	18.30	18.70
ROTCE	18%	21%	~21%	~20%
TBVPS	73.12	86.08	~98	~106

Q2 2024: A STRONG CORE QUARTER BEHIND A LARGE VISA GAIN

Reported earnings were distorted by the exchange of Visa shares, a foundation contribution and securities losses. Removing those items gives the cleaner signal: 20% ROTCE with solid markets, card and banking activity, alongside a normalizing credit cycle.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Managed revenue	US\$42.4	US\$42.5	US\$51.0	+20%	Visa gain
Net income	US\$14.5	US\$13.4	US\$18.1	+25%	Significant items
Diluted EPS	US\$4.75	US\$4.44	US\$6.12	+29%	US\$4.40 clean
ROTCE	25%	21%	28%	+3pt	20% clean
Credit costs	US\$2.9	US\$1.9	US\$3.1	+US\$0.2	Normalization
TBVPS	US\$79.90	US\$88.43	US\$92.77	+16%	Compounding
CET1 ratio	13.8%	15.0%	15.3%	+150bp	Strong capital

FORECAST AND EARNINGS FRAMEWORK

We exclude the Visa-related gain and model normalized ROTCE near 20%. Net interest income benefits from First Republic and loan growth but faces deposit repricing and eventual rate cuts. Expenses remain elevated as the firm invests in technology, branches and controls.

US\$bn unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Managed revenue	132.3	162.4	182.0	187.0	196.0
Net income (A rep.; E norm.)	37.7	49.6	54.0	53.0	56.0
EPS (A reported; E norm.)	12.09	16.23	18.30	18.70	20.20
EPS growth	-	34%	13%	2%	8%
ROTCE	18%	21%	~21%	~20%	~20%
TBVPS	73.12	86.08	~98	~106	~115
Dividend / share	4.00	4.10	4.60	5.20	5.60
CET1 ratio	13.2%	15.0%	15.0%	14.5%	14.0%
Net charge-offs	US\$2.9	US\$6.2	~US\$8-9	~US\$10.0	~US\$10.5

A PREMIUM FRANCHISE STILL HAS CREDIT AND RATE SENSITIVITY

JPMorgan can gain share when weaker institutions retrench, but it cannot eliminate the cycle. Our model assumes card losses normalize, markets activity returns toward mid-cycle levels and deposit pricing remains competitive. The valuation depends on sustaining roughly 20% ROTCE, not repeating a 28% reported quarter.

GROWTH DRIVERS: CLIENT SHARE, DEPOSIT SCALE AND TECHNOLOGY

The firm reinvests a scale advantage into branches, payments, data and technology. That spending supports growth and resilience, while capital and credit discipline determine how much translates into per-share value.

Driver	Q2/23	Q2/24	FY25E	FY26E	Investment implication
Average loans	Base	+6% y/y	+3%	+4%	NII growth
Average deposits	Base	-1% y/y	Stable	+2%	Funding moat
Markets revenue	Base	US\$7.8bn	Normalize	Mid-cycle	Volatile upside
Credit costs	US\$2.9bn	US\$3.1bn	Higher	Normalize	Cycle risk
TBVPS	US\$79.90	US\$92.77	US\$106	US\$115	Compounding
ROTCE	25%	20% clean	~20%	~20%	Valuation anchor

CONSUMER AND COMMUNITY BANKING

Card spending and customer engagement support revenue, while net charge-offs continue to normalize from unusually low levels. Deposit pricing and acquisition costs remain important swing factors.

COMMERCIAL AND INVESTMENT BANK

Payments, custody, financing and markets create a dense client ecosystem. The franchise can gain wallet share, but quarterly trading and investment-banking results should not be annualized.

CAPITAL, REGULATION AND TECHNOLOGY

A 15.3% standardized CET1 ratio provides capacity. Higher future capital requirements and persistent technology spending can constrain buybacks, while successful investment should deepen market share and lower unit costs.

VALUATION AND PRICE TARGET

Our December 2025 target is US\$245. The primary framework applies 13.1x to our FY25E normalized EPS of US\$18.70. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	13.1x FY25E US\$18.70	US\$245	Franchise premium
Cash-flow model	30%	10% cost of equity	US\$235	Cash conversion
Peer check	20%	~2.45x forward TBV	US\$260	Relative valuation
Weighted target	100%		US\$245	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	10.0x	12.0x	14.0x	16.0x	18.0x
US\$15.89	US\$159	US\$191	US\$223	US\$254	US\$286
US\$17.76	US\$178	US\$213	US\$249	US\$284	US\$320
US\$18.70	US\$187	US\$224	US\$262	US\$299	US\$337
US\$19.64	US\$196	US\$236	US\$275	US\$314	US\$353

At US\$216.63, the shares trade at 11.6x our FY25E normalized EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Share gains; benign credit; 22% ROTCE	US\$299
Base	55%	Near-20% ROTCE; normalized markets	US\$245
Bear	20%	Recession; reserve build; multiple contracts	US\$167

The probability-weighted scenario value is US\$243. Our US\$245 target implies 13.1% price appreciation and approximately 16.0% total return including estimated dividends through December 2025. We rate JPM Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Investment-banking and markets wallet share remains elevated.
- Deposit retention and loan growth sustain net interest income.
- Credit costs remain manageable while buybacks resume.
- Capital rules prove less onerous than feared.

DOWNSIDE RISKS

- Consumer or commercial credit losses rise sharply.
- Deposit repricing and lower rates compress net interest income.
- Higher capital requirements reduce buybacks and ROTCE.
- Operational, cyber, legal or conduct events create remediation costs.

METHODOLOGY AND SOURCE NOTES

1. JPMorgan Chase Q2 2024 presentation and supplement dated 12 July 2024: <https://www.jpmorganchase.com/content/dam/jpmc/jpmorgan-chase-and-co/investor-relations/documents/quarterly-earnings/2024/2nd-quarter/b1e5f8c3-7d1e-4940-b76c-4772db5f52a9.pdf> and <https://www.jpmorganchase.com/content/dam/jpmc/jpmorgan-chase-and-co/investor-relations/documents/quarterly-earnings/2024/2nd-quarter/0c34d80d-4a60-46ad-9bb9-cfdb3a51c12d.pdf>
2. JPMorgan Chase 2023 Form 10-K filed 16 February 2024 and Q2 Form 10-Q filed 2 August 2024: <https://www.sec.gov/Archives/edgar/data/19617/000001961724000453/jpm-20240630.htm> and <https://www.sec.gov/Archives/edgar/data/19617/000001961724000225/jpm-20231231.htm>
3. Market data: JPM raw close of US\$216.63 on 22 August 2024 from date-bounded Yahoo Finance chart data: <https://query2.finance.yahoo.com/v8/finance/chart/JPM?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. All forecasts, normalized measures, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by JPMorgan Chase, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.